

Chapter 5

Underwriting Securities

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» Understanding the specifics of registering securities

» Knowing the types of offerings

» Spotting exempt securities

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All issuers of securities need a starting point, just as all securities need a birth date (just not the kind that's celebrated with funny-looking hats and a cake). Most securities go through a registration procedure before the public can buy them. The SIE exam tests your ability to recognize the players and institutions involved in the registration process.

In this chapter, I cover topics related to bringing new issues (securities) to market. You find out about key players, types of security offerings, kinds of securities that don't need to be registered, and other details about the underwriting process.

Bringing New Issues to the Market

A lot of things need to happen before securities hit the market. Not only do the securities have to be registered, but the issuer has to find a broker-dealer (like your firm) to sell the securities to the public. The

SIE exam tests your expertise in answering questions about this process.

Starting out: What the issuer does

For an entity to become a corporation, the founders must file a document called a *corporate charter* (bylaws) in the home state of their business. Included in the corporate charter are the names of the founders, the type of business, the place of business, the number of shares that can be issued, and so on. If a corporation wants to sell securities to the public, it has to register with states and the Securities and Exchange Commission (SEC). Read on for info on how the registration process works.

THE SECURITIES ACTS

Registration helps ensure that securities issued to the public adhere to certain regulations (though antifraud rules also apply to exempt securities). The following acts are designed to protect investors from unscrupulous issuers, firms, and salespeople (see [Chapter 16](#) for details on other rules and regulations).

The Securities Act of 1933: This act — also called the Truth in Securities Act, the Paper Act, the Full Disclosure Act, the Prospectus Act, and the New Issues Act — regulates new issues of corporate securities. An issuer of corporate securities must provide full and fair disclosure about itself and the offering. Included in this act are rules to prevent fraud and deception.

The Securities Exchange Act of 1934: The Act of 1934, which established the SEC, was enacted to protect investors by regulating the over-the-counter (OTC) market and exchanges, such as the New York Stock Exchange (NYSE). ([Chapter 14](#) can tell you more about markets.) In addition, the Act of 1934 regulates

- The extension of credit in margin accounts (see [Chapter 12](#))

- Transactions by insiders
- Customer accounts
- Trading activities

The Trust Indenture Act of 1939: This act prohibits bond issues valued at over \$5 million from being offered to investors without an indenture. The trust indenture is a written agreement that protects investors by disclosing the particulars of the issue (coupon rate, maturity date, any collateral backing the bond, and so on). As part of the Trust Indenture Act of 1939, all companies must hire a trustee who's responsible for protecting the rights of bondholders.

Registering securities with the SEC

Unless the securities are exempt from registration (see “[Exempt securities](#)” later in this chapter), when a company wants to go public (sell stock to public investors), it has to file a registration statement and a prospectus (see “[Getting the skinny on the issue and issuer: The prospectus](#)” later in this chapter) with the SEC.

The *registration statement* includes

- The issuer's name, address, and description of its business
- The company's articles of incorporation (unless previously supplied)
- The names and addresses of the underwriter(s) and all commissions or discounts they will receive either directly or indirectly from the sale
- The price at which the security shall be offered to the public
- The names and addresses of all the company's control persons, such as officers, directors, and anyone owning more than 10 percent of the corporation's securities and how much they hold of the corporation's securities

- The estimated net proceeds of the sale from the security to be issued and what the proceeds will be used for, including property (if any), good will (if any), or other businesses to be purchased (if any)
- The company's capitalization (authorized and outstanding stock; par value of its stock, if any; voting rights; exchange rights; and so on)
- Complete financial statements (including balance sheets and income statements)
- Any legal proceedings against the corporation that may have an impact on it
- Any net proceeds derived from any security sold by the issuer in the previous two years along with the underwriter's particulars
- The names and addresses of the counsel who have passed on the legality of the issue and a copy of their opinion or opinions with regard to legality of the issue
- Any agreements or indentures which might affect the securities being offered



REMEMBER The information above regarding the Registration Statement is known as *Schedule A* and it typically applies to corporations issuing new securities. There is also a *Schedule B*, which applies to local government issues (typically municipal bonds). The information required when a local government issues securities is, as you can imagine, geared toward what a local government would have to supply in its registration statement. Most of the information required is very similar; in fact, you can substitute the word “municipality” for “company” for most of the items required. You need to know the name of the borrowing government or subdivision, what it is raising the money for, the amount of funded debt and the amount of floating debt there will be after the new security is issued, whether the issuer has defaulted on debt in the last 20 years, the names of all people involved (in other words, counsel, underwriter(s), and so on), commission to be paid to the underwriters, a copy of the agreement(s) made with the

underwriter(s), a legal opinion made by the counsel with regard to the legality and possible tax-free nature of the issue, and so on.

Shelving the issue: Shelf registration

Because the registration process to sell securities is a somewhat daunting and costly process for issuers, they may register more securities than they may need to sell now. Shelf registration (SEC Rule 415) allows issuers to sell securities that were previously registered with the SEC without needing additional permission. Shelf registration allows issuers up to two to three years (depending on their status) to sell previously registered shares.

Cooling-off period

After the issuer files a registration statement (the filing date) with the SEC, a 20-day cooling-off period begins. During the 20-day (and often longer) cooling-off period, the good old SEC reviews the registration statement. At the end of the cooling-off period, the issue will (hopefully) be cleared for sale to the public (the effective date of registration). In the event that the SEC sees that the registration statement needs to be amended or additional information is needed, it will issue a deficiency letter and halt the registration process until it receives the information required. If the SEC (the Commission) finds that the registration statement is misleading because the issuer included untrue statements of material fact or omits a material fact, it issues a *stop order*, which suspends the effectiveness of the registration statement. At this point, the issuer will be required to amend the registration statement and answer any questions posed by the Commission in order to continue the registration process.



REMEMBER Neither the SEC nor any self-regulatory organization approves an issue. The SEC just clears the issue for sale. The SEC also is not re-

sponsible for making sure that the information included on the registration statement is true and accurate. As a matter of fact, it is unlawful to in any way represent that the SEC approved of an issue or issuer.

During the cooling-off period, the underwriter (or underwriters) can obtain indications of interest from investors who may want to purchase the issue. Agents scramble to get indications of interest from prospective purchasers of the securities.



REMEMBER Indications of interest aren't binding on customers or underwriters. A customer always has the prerogative to change his mind, and underwriters may not have enough shares available to meet everyone's needs.

A *tombstone ad* — a newspaper ad that's shaped like a, well, tombstone (it's rectangular with black borders) — is simply an announcement (but not an offer) of a new security for sale. It's the only advertisement allowed during the cooling-off period. These ads contain just a simple statement of facts about the new issue (for example, the issuer, type of security, number of shares or bonds available, underwriter's name, and so on). In addition, tombstone ads often provide investors with information about how to obtain a prospectus. Tombstone ads are optional.

Underwriters and selling group members use the preliminary prospectus to obtain indications of interest from prospective customers. The preliminary prospectus must be made available to all customers who are interested in the new issue during the cooling-off period. I talk more about what that prospectus has to include in the section “[Getting the skinny on the issue and issuer: The prospectus](#)” a little later in this chapter.

Due diligence meeting

Toward the end of the cooling-off period, the underwriter holds a due diligence meeting. During this meeting, the underwriter provides information about the issue and what the issuer will use the proceeds of the sale for. This meeting is designed to provide such information to syndicate members, selling groups, brokers, analysts, institutions, and so on.



REMEMBER The last time syndicate members can back out of an underwriting agreement is toward the end of the cooling-off period (around the time of the due diligence meeting). You can assume that if syndicate members are backing out, it's most likely due to negative market conditions.

Blue skies: Registering with the states

All *blue sky laws*, or state laws that apply to security offerings and sales, say that in order to sell a security to a customer, the broker-dealer (brokerage firm), the registered representative, and the security must be registered in the customer's home state. The issuer is responsible for registering the security not only with the U.S. Securities and Exchange Commission (the SEC) but also with the State Administrator in each state in which the securities are to be sold.

Here are the methods of state security registration:

- **Notification (registration by filing):** Notification is the simplest form of registration for established companies. Companies that have previously sold securities in a state can renew their previous application.
- **Coordination:** This method involves registering with the SEC and states at the same time. The SEC helps companies meet the blue sky laws by notifying all states in which the securities are to be sold.

- **Qualification:** Companies use this registration method for securities that are exempt from registration with the SEC but require registration with the state.

Role call: Introducing the team players

The following list explains who's involved in the securities registration and selling process. Registered reps can work for any of these firms:

- **Investment banking firm:** An *investment banking firm* is an institution (a broker-dealer) that's in the business of helping issuers raise money. You can think of investment bankers as the brains of the operation, because they help the issuer decide what securities to issue, how much to issue, the selling price, and so on. Not only do investment bankers advise issuers, but they usually underwrite the issue and may also become the managing underwriter in the offering of new securities.
- **Underwriter:** The *underwriter* is a broker-dealer that helps the issuer bring new securities to the public. Underwriters purchase the securities from the issuer and sell them to the public for a nice profit (yippee!).
- **Syndicate:** When an issue is too large for one firm to handle, the syndicate manager (managing underwriter) forms a syndicate to help sell the securities and relieve some of the financial burden on the managing underwriter. Each syndicate member is responsible for selling a portion of the securities to the public.
- **Managing (lead) underwriter:** The managing underwriter (syndicate manager) is the head firm that's responsible for putting together a syndicate and dealing directly with the issuer. The managing underwriter receives financial compensation (buckets-o-bucks) for each and every share sold.
- **Selling group:** In the event that the syndicate members feel they need more help selling the securities, they can recruit selling group members. These members are brokerage firms that aren't part of the syndicate. Selling group members help distribute shares to the

public but don't make a financial commitment (that is, they don't purchase shares from the issuer) and therefore receive less money per share when selling shares to the public.

Although corporations could use a bidding process to pick the underwriter for new issues, they typically choose the underwriter directly. This type of offering is called a *negotiated offering*. However, because Municipal GO (general obligation) bonds are backed by the taxes of the people living in the community, they will most likely choose a *competitive offering* (bidding process) to insure that they are getting the best deal for taxpayers. (This topic is covered in more detail in [Chapter 8](#).)

Agreement among underwriters

When an issuer hires a(n) underwriter(s) (dealer[s]) to help sell its securities to the public, the parties must sign an underwriting agreement, which is also known as an agreement among underwriters. The underwriting agreement will outline, among other things, the method of distribution (firm commitment, best efforts, or standby).

The Underwriting Agreement is a contract between the issuer of the securities and the managing or lead underwriter. It must be agreed upon and signed prior to any securities can be sold to the public. Now, for SIE purposes, you don't need to know all the details about the Underwriting Agreement, but you should have a basic understanding of the types of underwritings: firm commitment and best efforts.

Firm commitment

In a firm commitment underwriting, the lead underwriter and syndicate members (other underwriters who may be helping in the sale of the securities) agree to purchase all the securities that remain unsold after the offering. In this case, the underwriter(s) assume(s) all the financial risk.

Another type of firm commitment offering is a standby. A stand-by underwriter signs an agreement with the issuer to purchase any stock not purchased by the public if/when an issuer has a rights offering ([Chapter 10](#)).

Best efforts

In a best efforts underwriting, the underwriter(s) is/are agreeing to make their best effort(s) to sell all the securities to the public (hey, that's how they make money). If, however, they cannot sell all the securities to the public, the issuer has the right to either cancel the offering or take back some of the unsold securities depending on whether it is an All or None offering or a Mini-Max offering:

- **All or None (AON):** If the offering is set up as an AON agreement, all the securities must be sold by the deadline or the deal is canceled.
- **Mini-Max:** A mini-max offering is one in which a specified minimum number of securities must be sold in order for the deal not to be canceled. If that minimum threshold is reached, the issuer will take back any securities that remain unsold.

You should be aware that if securities are sold on a best efforts basis, purchasers and potential purchasers must be made aware that the offering could be canceled. Purchasers' money is held in an escrow account until the terms are met or the deal is canceled. Once the specified number of securities are sold, the underwriter(s) release(s) the securities to the purchasers. If, however, the underwriters do not sell enough of the securities by the deadline, the purchasers receive their money back.



REMEMBER According to FINRA, “A member, in the conduct of its business, shall observe high standards of commercial honor and just and

equitable principles of trade.” So regardless of whether the securities offered during an IPO are sold on a firm commitment or best efforts underwriting, it must be a *bona fide offering* of the securities at the public offering price. Firms cannot hold back securities for themselves, associated persons and their immediate family, industry insiders, portfolio managers, and so on.

Getting the skinny on the issue and issuer: The prospectus

The issuer prepares a preliminary prospectus (sometimes with the help of the underwriter) that’s sent in with the registration statement. The preliminary prospectus must be available for potential purchasers when the issue is in registration (during the cooling-off period) with the SEC. The preliminary prospectus is abbreviated, but it contains all the essential facts about the issuer and issue except for the final offering price (public offering price, or POP) and the *effective date* (the date that the issue will first be sold).

A preliminary prospectus is sometimes called a *red herring*, not because it smells fishy (or is totally misleading and irrelevant) but because a statement in red lettering on the cover of the preliminary prospectus declares that it’s not the final version and that some items may change in the meantime.

The *final prospectus*, which is prepared toward the end of the cooling-off period, is a legal document that the issuer prepares; it contains material information about the issuer and new issue of securities. The final prospectus has to be available to all potential purchasers of the issue. It includes

- The final offering price
- The underwriters’ spread (the profit the underwriters make per share)
- The delivery date (when the securities will be available)

Note: Because all mutual (open-end) funds constantly issue new securities, they must always have a prospectus available. In addition, many mutual funds also provide a *statement of additional information (SAI)*, which provides more detailed information about the fund's operation that may be useful to some investors. A statement of additional information is also known as "Part B" of a fund's registration statement.

Counting the securities along the way

When a company issues securities and they're traded in the market, someone has to be responsible for keeping track of the owners of the securities, and someone has to make sure that the number of securities in the market isn't greater than it's supposed to be. These jobs are assigned to a registrar and a transfer agent:

- **Registrar:** The *registrar* is an independent entity that works along with a company's transfer agent to maintain a record of stock and bond owners. The main function of a registrar is to make sure that the outstanding shares don't exceed the amount of stock the issuer authorizes under its corporate *charter* (or *bylaws*, rules the company lives by).
- **Transfer agent:** The *transfer agent* maintains records of a corporation's stock and bond owners (much like a registrar) but also mails and cancels stock certificates as necessary.



TIP

An easy way to keep these folks straight is to remember that a registrar is responsible for counting things and a transfer agent is responsible for transferring or sending things.

Getting Up to Speed on the Types of Securities Offerings

Table 5-1 deals with the different types of offerings that you (as a mega-broker) should be familiar with. The offerings that follow usually require the services of an underwriter or underwriting syndicate to sell the securities to the public.

TABLE 5-1 Types of Securities Offerings

Type	Description	Who Profits
Initial public offering (IPO)	The first time an issuer sells stock to the public to raise capital; issuers usually hold back some stock for future primary offerings.	The bulk of the moolah raised goes to the issuer, and the rest goes to the underwriters.
Primary offering	An offering of new securities from an issuer that has previously issued securities; a company can have an initial public offering and several primary offerings if it wants to.	The proceeds of sale go to the issuer and underwriters.
Secondary offerings	A sale of a large block of outstanding (stockholder-owned) securities or previously outstanding securities (treasury stock, or stock the issuer has repurchased); typically, one or more major stockholders of a corporation are the ones who make the secondary offerings; new investors are essentially buying used, so the number	The sales proceeds don't go to the issuer (except with treasury stock); they go to the big shots selling the securities.

<i>Type</i>	<i>Description</i>	<i>Who Profits</i>
	of shares outstanding doesn't change.	
Split (combined) offering	A combination of a primary and secondary offerings, with both new and outstanding securities.	A portion of the sales proceeds goes to the issuer, and a portion goes to the selling stockholders.

For initial public offerings (IPOs), a final prospectus needs to be available to all purchasers of the IPO for 90 days after the *effective date* (the first day the security starts trading).

With primary, secondary, or combined offerings, a final prospectus has to be available to all purchasers of the primary offering for 25 days after the effective date for all issuers whose securities are already listed on an exchange or NASDAQ. If an issuer has already issued securities but not on an exchange or NASDAQ, the final prospectus has to be available for 40 days after the effective date.

In the event that a member is acting as a dealer or has some other financial interest in recommending a security other than the commission received from the buyer, it must be disclosed in writing to the client at or before the completion of the transaction. So, in that regard, all buyers must be notified in writing if your firm is involved in a primary or secondary distribution of securities.

Reviewing Exemptions

Certain securities are exempt from registration because of either the type of security or the type of transaction involved. You may find that securities that are exempt because of who's issuing them are a bit easier to recognize. You'll probably have to spend a little more time on the securities that are exempt from registration because of the type of transaction.

Exempt securities

Certain securities are exempt from the registration requirements under the Securities Act of 1933. Either these securities come from issuers that have a high level of creditworthiness, or another government regulatory agency has some sort of jurisdiction over the issuer of the securities. These types of securities include

- Securities issued by the U.S. government or federal agencies
- Municipal bonds (local government bonds)
- Securities issued by banks, savings institutions, and credit unions
- Public utility stocks or bonds
- Securities issued by religious, educational, or nonprofit organizations
- Notes, bills of exchange, bankers' acceptances, and commercial paper with an initial maturity of 270 days or less
- Insurance policies and fixed annuities

Fixed annuities are exempt from SEC registration because the issuing insurance company guarantees the payout. However, variable annuities require registration because the payout varies depending on the performance of the securities held in the separate account. For more info on annuities and other packaged securities, see [Chapter 9](#).

Exempt transactions

Some securities that corporations offer may be exempt from the full registration requirements of the Securities Act of 1933 due to the na-

ture of the sale. The following list shows you these exemptions:

- **Intrastate offerings (Section 3[a][11] and Rule 147):** An intrastate offering is, naturally, an offering of securities within one state. For such an offering to be exempt from SEC registration, the company must be incorporated in the state in which it's selling securities, 80 percent of its business has to be within the state, and it may sell securities only to residents of the state. The securities still require registration at the state level.



WARNING Don't confuse *intrastate* offerings (securities sold in one state) with *interstate* offerings (securities sold in many states). *Interstate* offerings do need SEC registration. To help you remember, think of an interstate roadway, which continues from one state to the next.

- **Regulation A (Reg A) offerings:** An offering of securities worth \$5 million or less within a 12-month period is Regulation A. Although this company may seem large to you, it's relatively small in market terms. Regulation A offerings are exempt from the full registration requirements, but the issuer still has to file a simplified registration or abbreviated registration statement.
- **Regulation D (Reg D) offerings:** Also known as a *private placement* (private securities offering), a Regulation D offering is an offering to no more than 35 unaccredited investors per year. Companies that issue securities through private placement are allowed to raise an unlimited amount of money but are limited in terms of the number of unaccredited investors. Sales of Reg D securities are subject to the sales limitations set forth under Rule 144. An *accredited investor* is one with a net worth of \$1 million or more or an investor who has had a yearly income of at least \$200,000 (for an individual investor) or \$300,000 (for joint income with spouse) for the previous two years and is expected to earn at least that much in the current year.

- **Rule 144:** This rule covers the sale of restricted, unregistered, and control securities (stock owned by directors, officers, or persons owning 10 percent or more of the issuer's voting stock). According to Rule 144, sellers of these securities must wait anywhere from six months to a year, depending on whether the corporation that issued the securities is subject to the reporting requirements of the Securities Exchange Act of 1934 prior to selling the securities to the public. Additionally, the most an investor can sell at one time is 1 percent of the outstanding shares or the average weekly trading volume for the previous four weeks, whichever is greater.

The following example tests your ability to answer restricted-stock questions.



EXAMPLE John Bullini is a control person who purchased shares of restricted stock and wants to sell under Rule 144. John has fully paid for the shares and has held them for over one year. There are 1,500,000 shares outstanding. Form 144 is filed on Monday, May 28, and the weekly trading volume for the restricted stock is as follows:

<i>Week Ending</i>	<i>Trading Volume</i>
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May 25	16,000 shares
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May 18	15,000 shares
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May 11	17,000 shares
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May 4	15,000 shares
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April 27	18,000 shares
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What is the maximum number of shares John can sell with this filing?

(A) 15,000

(B) 15,750

(C) 16,200

(D) 16,250

The right answer is Choice (B). The test writers often try to trick you on the SIE exam by giving you at least one week more than you need to answer the question. Because John has held his restricted stock for over a year, he can sell 1 percent of the outstanding shares or the averaged weekly trading volume for the previous four weeks, whichever is greater:

$$1\% \times 1,500,000 \text{ shares outstanding} = 15,000 \text{ shares}$$
$$\frac{16,000 + 15,000 + 17,000 + 15,000}{4 \text{ weeks}} = \frac{63,000}{4 \text{ weeks}} = 15,750 \text{ shares}$$



WARNING In this case, the previous four weeks are the top four in the list, but be careful; the examiners are just as likely to use the bottom four to give the table a different look.

Figure out 1 percent of the outstanding shares by multiplying the outstanding shares by 1 percent (easy, right?). In this case, you come up with an answer of 15,000 shares. That's one possible answer. The other possible answer is the average weekly trading volume for the previous four weeks. Add the trading volume for the previous four weeks (the top four in the chart) and divide by 4 to get an answer of 15,750 shares. Because you're looking for the greater number, the answer is Choice (B).



REMEMBER Even securities exempt from registration are subject to antifraud rules. All securities are subject to antifraud provisions of the Securities Act of 1933, which requires issuers to provide accurate information regarding any securities offered to the public.

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